delivers substantial abnormal returns with little exposure to standard asset pricing factors and performs best during extreme markets."[13]

Time-Varying Sharpe Ratios

- Tang and Whitelaw (2011): "*This paper documents predictable time-variation in stock market Sharpe ratios. … In sample, estimated conditional Sharpe ratios show substantial time-variation that coincides with the phases of the business cycle. Generally, Sharpe ratios are low at the peak of the cycle and high at the trough. In an out-of-sample analysis, using 10-year rolling regressions, relatively naive market-timing strategies that exploit this predictability can identify periods with Sharpe ratios more than 45% larger than the full sample value*."[14]

Simple Moving Average (MA) Rules

- Faber (2007): "*This article presents a simple quantitative method that improves risk-adjusted returns across various asset classes. A moving-average timing model is tested in-sample on the United States equity market and out-of-sample on more than twenty additional domestic and foreign markets*."[15]

Challenging MA Rule #1

- Scholz and Walther (2011): "*The often reported empirical success of trend-following technical timing strategies remains to be puzzling…We claim that empirical timing success is possible even in perfectly efficient markets but does not indicate prediction power. We prove this by systematically tracing back timing success to the statistical characteristics of the underlying asset price time series, which is modeled by standard stochastic processes*."[16]

Challenging MA Rule #2

- Zakamulin (2014): "*These active timing strategies (including Faber's MA rule) are very appealing to investors because of their extraordinary simplicity and because they promise substantial advantages over their*